

I measured performance of Fibonacci-based patterns differently than I do other chart pattern types. That's because we're looking for a reversal at the end of the pattern and not an upward or downward breakout. Therefore, the layout of this chapter is different from most other chapters in this book.

The above Results Snapshot gauges the downward move after the pattern ends. The stocks I looked at saw price turn lower 86% of the time after reaching point D. That percentage is not good but great!

The average decline in bull markets is a hair over 14%. The breakeven failure rate isn't too bad, at 17.7%. That means an average of almost 18% of the bearish bats will fail to see price drop more than 5% below the high at D (end of the pattern).

All of this may be confusing unless you can see what a typical bat pattern looks like. So let's take a quick tour.

Tour

[Figure 4.1](#) shows an example of a bearish bat. The pattern begins at X, which is any significant turn. The locations of points A and B follow, but their placement is determined by one of two Fibonacci numbers. Once points XAB are found, the search for C can begin using one of six Fibonacci numbers. Following that, if you're lucky, D will appear close to one of four Fibonacci numbers. One last number, .886, helps validate the pattern. All of that gibberish means this pattern is complicated, and that makes it rare.

If you're handy with a slide rule (remember those?), then you'll be wasting your time searching for a bat. Even using a fancy electronic calculator will take too much time to find a bat. Use a computer with pattern-finding software. I have a free one on my website called Patternz which will find this pattern and dozens of others. Try using it if you're serious about finding bats.

Even for a bearish bat, this example looks weird because of the uneven bottoms (A and C). Volume trends upward (E) when [Table 4.2](#) says the average pattern shows a downward trend. As bad as this bat looks, it performs exceedingly well, with price dropping to F. This bearish bat is indeed bearish.